What is Innovation



Week 8

Types of Innovation



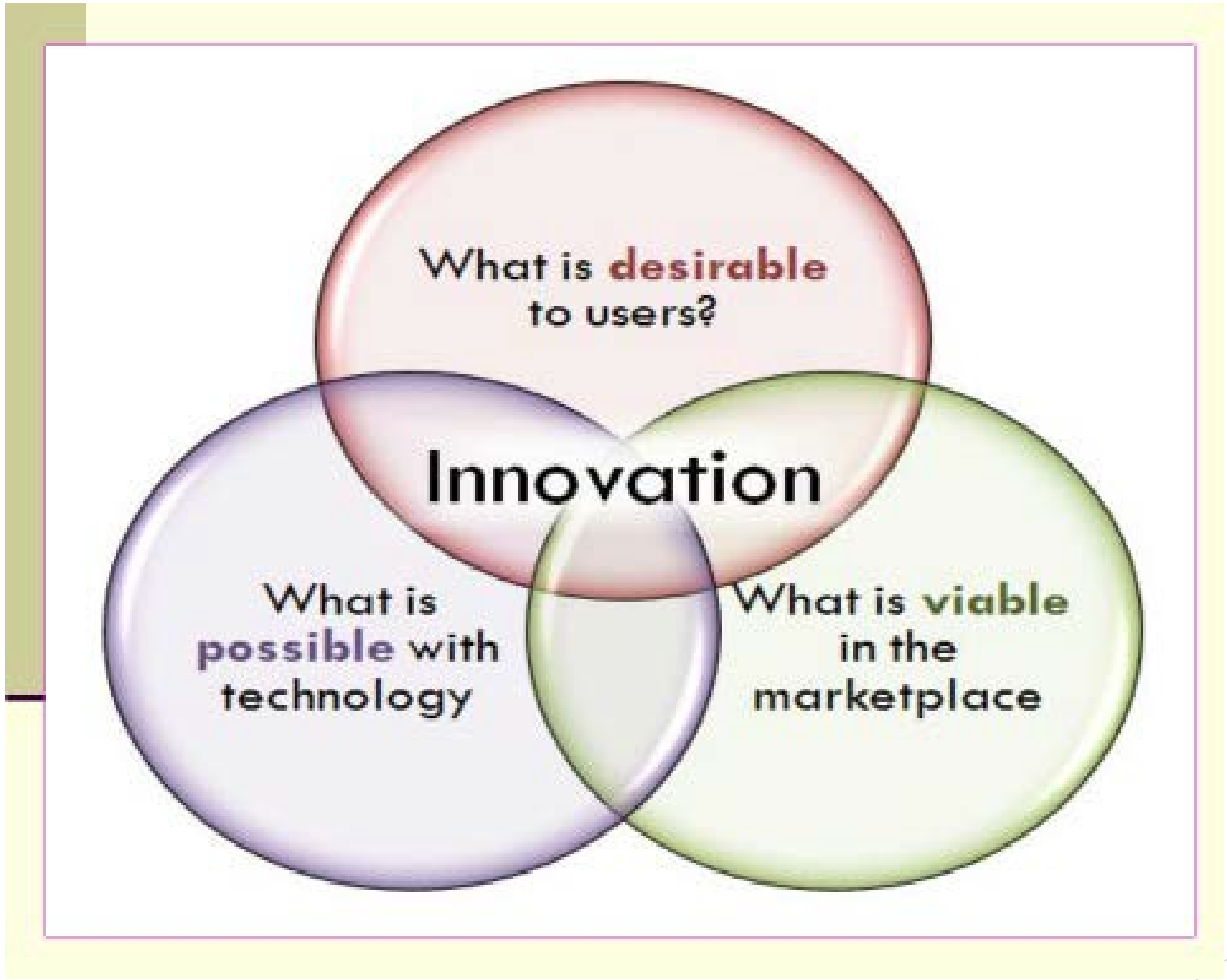
WHAT IS AN INNOVATION?

- It is an idea, practice or object that is perceived as new by an individual or other unit of adoption.
- It is a use of new knowledge to offer a new product or service that customers want. Thus, it is Invention + Commercialization.
- "Innovation is the search for and the discovery, developed, improvement, adoption and commercialization of new processes, new products and new organization structures and procedures."

Eric. F Shaver 2014

CHARACTERISTICS OF INNOVATION

- There is an object or target which is being changed.
- It can be a product, a process, an individual’s lifestyle, an organization's strategy, a society culture.
- Innovation vary in extent or magnitude i.e. degree to which one deviates from the past.
- It is closely related to problem solving since generation & implementation of ideas for change never transpire without difficulty.
- A final characteristic is the impact of the change, the significance or range of its effects.


What is desirable to users?
Innovation
What is possible with technology
What is viable in the marketplace

WHY INNOVATE ???

- Turbulent and rapidly changing economy and/or organization prepare themselves to innovate on a continuing basis, otherwise their survival chances are seriously threatened eg. Apple



GOALS OF INNOVATION

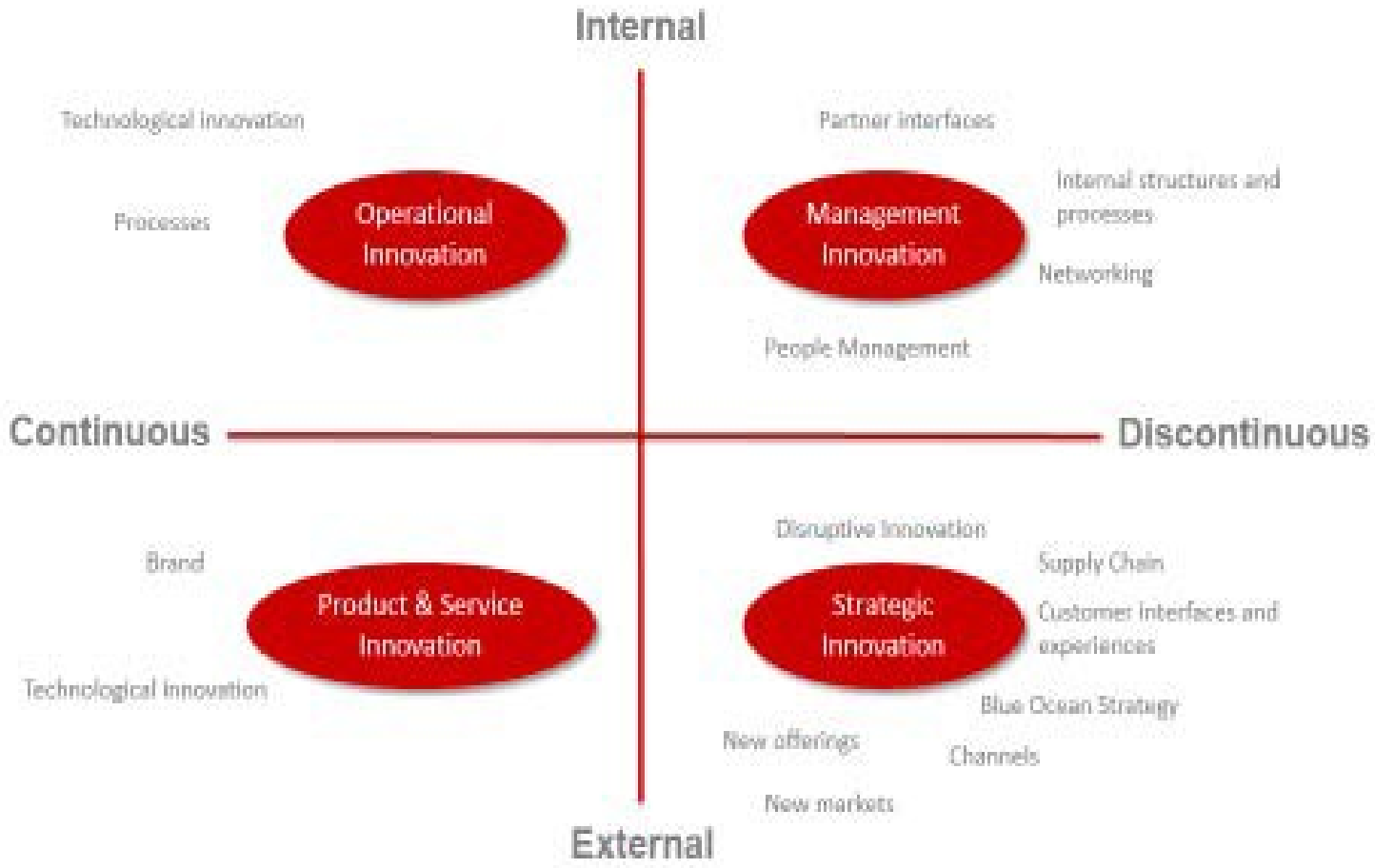
- Improving quality
- Creation of new markets
- Extension of the product range
- Reducing labour costs
- Improving production process
- Reducing materials
- Reducing environmental damage
- Replacement of products/services
- Reducing energy consumption
- Conformance to regulations



SOURCES OF INNOVATION

- Organizational Structure. - Organic structures positively influence innovation. As there is lower vertical differentiation, formalization, centralization. Organic organizations facilitate the flexibility, adaptation & cross-fertilization.
- Long tenure in Management - Managerial tenure apparently provides legitimacy & knowledge of how to accomplish a task and obtain desired outcomes.
- Slack Resources - Having an abundance of resources allows an organization to be able to afford to purchase innovations, bear the cost of instituting innovation & absorb failures.
- Intra Communications - Innovative organizations are high users of committees, task forces, cross-functional teams that facilitate interaction across departmental lines.

The Innovation Map

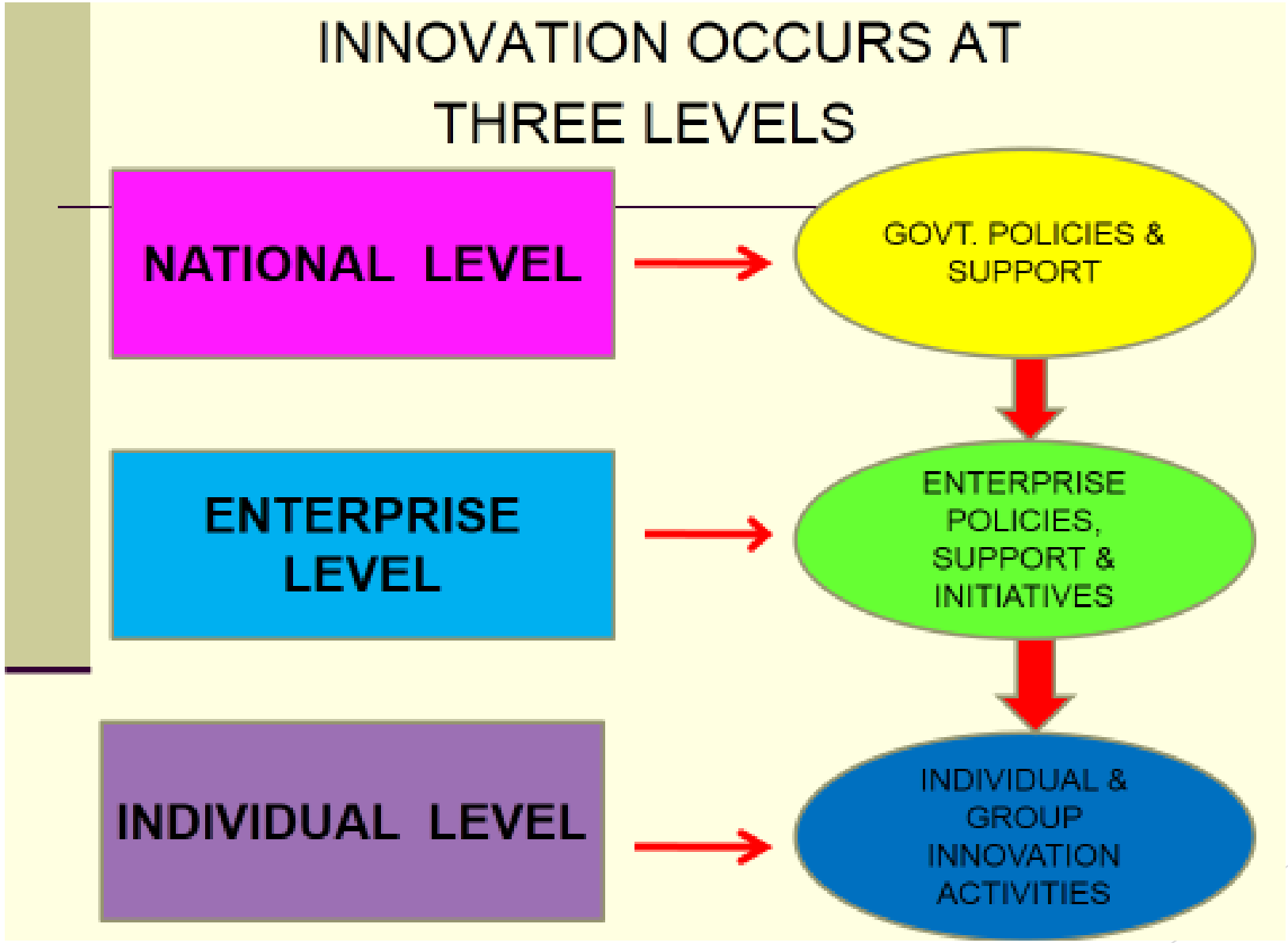


Difference between Innovation & Invention

Invention	Innovation
1. It's creation of new product, service or process.	1. It is the introduction of new product, service or process into the marketplace.
2. May not be commercialized	2. Results into commercialization
3. It can be autonomous or induced	3. Usually induced
4. Can be for economic or non-economic motive	4. Economic motive
5. Usually restricted to R&D centre	5.Spread across the organization
6. May bring few changes in organization	6. Brings organizational change
7. Precedes innovation	7.Succeeds invention

Innovation Process

- Recognizing or scanning the environment.
- Aligning the overall business strategy & proposed innovation.
- Acquiring technology from outside.
- Generating technology in-house.
- Exploring & selecting the most suitable response to the environment.
- Executing & implementing innovation.
- Learning lessons for improvement.
- Developing the organization.


INNOVATION OCCURS AT THREE LEVELS
NATIONAL LEVEL
GOVT. POLICIES & SUPPORT
ENTERPRISE LEVEL
ENTERPRISE POLICIES, SUPPORT & INITIATIVES
INDIVIDUAL LEVEL
INDIVIDUAL & GROUP INNOVATION ACTIVITIES

What is Innovation Management?

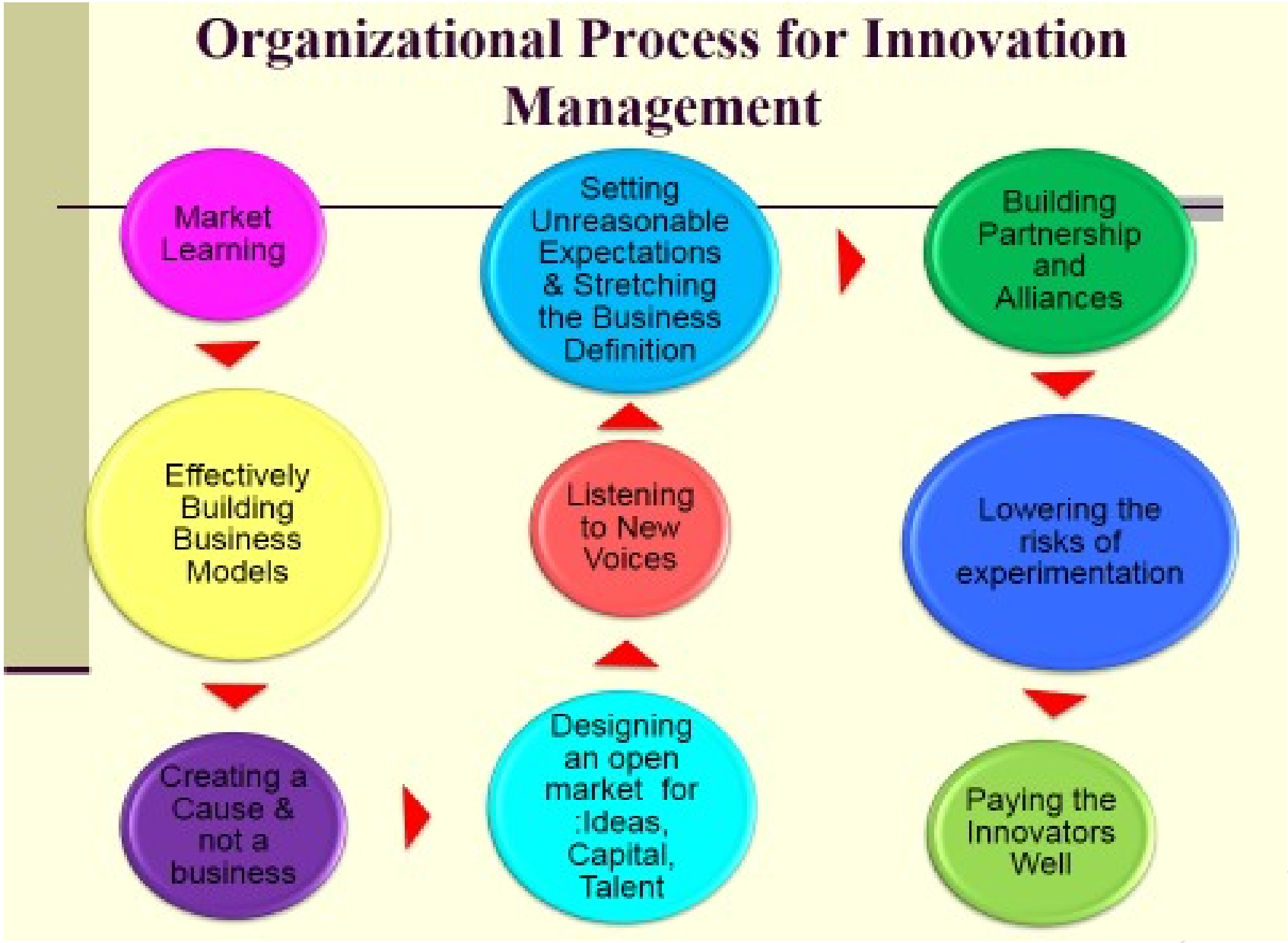
Innovation management is all about

1. learning to find the most appropriate solution

to the problem and of consistently managing aforestated process and doing so in the ways best suited to the particular circumstances in which the organization finds itself.

2. It is the search of effective routines.

3.It is about managing the learning process to deal with the challenge of the innovation process.


Organizational Process for Innovation Management
Market Learning
Setting Unreasonable Expectations & Stretching the Business Definition
Building Partnership and Alliances
Effectively Building Business Models
Listening to New Voices
Lowering the risks of experimentation
Creating a Cause & not a business
Designing an open market for :Ideas, Capital, Talent
Paying the Innovators Well

Value Innovation (VI)

- One of the most prominent programmatic approaches to innovation currently in use.
- It is different from building layers of competitive advantages & does not means segmenting market & accommodating customer needs.
- It's main focus is on offering those products & services which creates a superior buyer value in existing markets & enables a quantum leap for the firm to create new markets.
- Value Innovation also differs from technology innovation. New technology developed does not becomes a value innovation unless it is cheap enough for MASS BUYERS.

Lets ask the What If questions….

- Many times we get held back by the “status quo”, which stifles imagination.
- How to overcome this is to ask the “What If” questions of conventional assumptions.
- With the right business model ingredients, what we think of as impossible may just be doable.
- These questions should provoke us and challenge our thinking. Disturb us as intriguing…
  - Eg What if newspapers stopped printing all together and went to purely digital distribution. Lets think of issues etc here, what are the benefits and costs?
- What if questions are merely starting points…it is the challenge to find the business model that could make the suggestion/innovation work.
- Not all what if questions will be answered some will be too provocative… such as??

Examples of What if questions that got answered…

- IKEA introducing the ideas of flat packs and DIY furniture assembly in the 1950s
- 2003 Skype launched a service that allowed free voice calling by the internet. After 5 years it had acquired 400 million registered users who made 100 billion free calls
- Grameenphone was a partnership with Grameen Bank the micro financier – what if every Bangladeshi villager had access to a telephone, at the time of inception Bangladesh had the lowest tele density and now Grameenphone is the country's largest taxpayer



Osterwalder and Pigneur 2010

The Ideation Tool Kit

According to Mattimore (2012), there are 7 tools to use.

1. Questioning Assumptions
2. Opportunity redefinition
3. Wishing
4. Triggered Brainwalking
5. Semantic Intuition
6. Picture Prompts
7. Worst Idea

1. Questioning Assumptions

- Question why it is?
- Decide how you want to frame your creative challenge
- Generate 20-30 assumptions you might be making – true or false about the challenge
- Pick several of these and use them s thought starters and creative triggers to create new ideas

Eg. Lets say we need to increase the sale of women's electric razors by 30%.
Assumptions are:

1. Mostly women buy their razors
2. A razor is bought primarily for what it does
3. Target market is women mainly aged between 25-49
4. Razors should be designed to last 5 years
5. Most important distribution channel is Department stores

Questioning assumption what if we targeted teenage girls with an inexpensive razor, what would it look like?

2. Opportunity Redefinition

- This is an opportunity statement or creative challenge.

Eg. How do we sell more insurance to Catholics?

- Next we redefine. Pick the 3 more interesting words in the sentence and then generate 8-10 creative alternatives for each choice. These words might represent the “who, what, where, when or how”.
- You may ask who is “we”?
- Then what is “sell”?
- What constitutes a “catholic”?
- Then you randomly combine the words from each of the three lists to give a new opportunity statement

Eg. How do we get practicing young Catholics to be incentivized to sell life insurance to Catholic grandparents?

3. Wishing

- You start by “wishing” for the impossible!
- Then figure out a way to make the impossible happen, or at least some of it.

As Arthur. C.Clarke (2001:A Space Odyssey) said “We cannot know what’s possible without first considering the impossible”

- So wishing begins with the assumption that anything is possible… money, energy, time is no object, even violate the laws of nature! If you dare to imagine it, you can have it with wishing.
- It assists a team to challenge perceived limitations around any creative challenge or opportunity in two ways.

1. The facilitating leader has the team generate 20-30 wishes
2. The team works through several of the more fantastic /impossible wishes and uses them as creative stimuli to generate novel but realistic ideas eg. Maybe the Uber concept came from wishing for more convenient transport?

4. Triggered Brainwalking

- This lends itself to be combined with other techniques… it ensure everyone gets the chance to contribute ideas.
- Think of it as “vanilla” ice cream, its delicious by itself but add things to it and it can become more so eg Banana, chocolate sauce, sprinkles… the list of additions are endless and could ultimately make a type of sundae or beyond that a doughnut milkshake?
- By adding these you can make something very different and special



5. Semantic Intuition

- Prompts people for new ideas by having them combine several categories of key words to create a name for a new idea and this may well be before they have any idea what the concept will be?
- This may appear counter intuitive, but it is how it works.
- You should go beyond the literal meaning of a word to create a workable idea
- The combination of words are simply stimuli to prompt you to think differently
- It doesn't matter in the end if you use any of the words or all of them.
- The point is a new original idea, how you get there is unimportant

Example:

- Problem: How can we improve our teamwork?
- Keywords: teamwork, improve
- Synonyms for teamwork: meeting, information exchange, synonyms for improve: advance, upgrade
- Word combinations: upgrade information exchange
- Solution: Upgrade information software

6. Picture Prompts

- Visual techniques have a way to bring to the surface intuitions, emotions and feelings – good to use for personnel and management innovation challenges
- Customise the visual to address a particular challenge

Eg. If it's a manufacturing problem, use industrial scenes, as well as things being made, manipulated or transformed

- Also use some random pictures – people will make some uncanny connections between seemingly random or irrelevant stimuli





7. Worst Idea

- You get people to create collectively a list of bad ideas. Really terrible ones.
- Then you get the team to turn them into good ideas by having them think of the opposite, or find something of value in the idea, to inspire a good one.
- This takes the creative pressure off the team and is also a bit of fun, with positive results.





The Ideation Process

Can take several forms to come up with an innovative business model'

Key questions to ask

- Is your team sufficiently diverse to generate fresh business model ideas?

Diversity should be in age, seniority, experience, customer knowledge etc

- Which elements must be studied before generating business model ideas?

The team needs to go through an immersion stage, which includes general research, knowing your customer well, scrutinising new technologies etc.

- What innovations are we imagining for each business model building block ?

The team expands the range of possible solutions, aiming to generate as many ideas as possible. The goal here is quantity not quality. Here brainstorming rules are paramount

The Ideation Process cont'd

- What are the most important criteria for prioritizing the business model ideas?

After expanding the range of possible solutions, the team needs to define the criteria to reduce the number of ideas to a manageable few. This criteria will be specific to the context of the business, but may include things like revenue potential, impact on competitive advantage etc

- What does the complete business model look like for each shortlisted idea?

With the criteria defined, the team can then reduce the number of ideas to a shortlist of three to five, potential business innovations.